Citi Finance Annual Operating Plan – Financial Performance Summary (FY2022)

Key KPI movements and business drivers across operating units

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Executive Summary

> Citi delivered revenue growth in FY2022, however profitability declined due to higher credit costs and continued investment spending.

Key Highlights

Revenue increased ~6% YoY

Driven by higher interest rates and strong performance in institutional services and card lending.

Operating expenses declined slightly (~4%)

Reflecting lower corporate costs and benefits from legacy market exits.

Cost of credit increased significantly

Due to reserve builds and normalization of credit losses following historically low levels in the prior year.

Net income declined ~21% YoY

As higher credit provisions and investments offset revenue growth.

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Revenue Performance

Revenue increased to $18.0B in FY2022 (+6% YoY)

Key Revenue Drivers

Institutional Clients Group (ICG)

Revenue increased due to strong performance in:

- Treasury & Trade Solutions
- Securities Services
- Fixed Income Markets

Personal Banking & Wealth Management (PBWM)

Revenues increased due to:

- Growth in loan balances
- Higher net interest income driven by rising interest rates
- Increased card spending volumes

Corporate/Other

Revenues increased due to higher investment portfolio income from rising interest rates.

Partially offset by

- Lower investment banking activity due to macroeconomic uncertainty
- Decline in revenues from **legacy markets undergoing exit or wind-down**

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Operating Expenses

Operating expenses declined to ~$13.0B in FY2022 (−4% YoY)

Key Expense Drivers

Expense Reductions Driven By

- Lower **corporate consulting costs**
- Absence of prior-year **divestiture-related expenses**
- Cost benefits from **legacy market exits**

Partially Offset By

- Continued **transformation investments**
- Increased spending on **risk management and regulatory infrastructure**
- Business-led investments supporting growth initiatives

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Cost of Credit

Cost of credit increased significantly to ~$1.8B in FY2022

Primary Drivers

- **Allowance for Credit Losses (ACL) build** reflecting deterioration in macroeconomic assumptions.
- **Normalization of credit losses**, particularly in consumer portfolios.
- Higher **card lending volumes**, increasing exposure to potential losses.

Comparison to Prior Year

FY2021

Benefited from **large reserve releases**, resulting in unusually low credit costs.

FY2022

Reflects a **return toward normalized credit provisioning levels.**

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Net Income Impact

> **Net income declined to ~$2.5B in FY2022 (−21% YoY)**

Key Profitability Drivers

Profitability was impacted by:

Increase in Cost of Credit

Significant increase in cost of credit weighed heavily on the bottom line.

Transformation Investments

Continued investment in transformation initiatives impacted profitability.

Weak IB & Equity Markets

Weak performance in investment banking and equity markets.

These factors **more than offset revenue growth** across key business segments.

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Segment Performance Overview

Business Unit Performance

Institutional Clients Group

- Revenue growth driven by services and fixed income markets
- Net income declined due to higher expenses and credit costs

Personal Banking & Wealth Management

- Revenue growth supported by loan growth and higher interest rates
- Profitability significantly impacted by increased credit provisions

Legacy Franchises

- Revenue declined due to market exits
- Profitability improved due to lower restructuring costs

Corporate / Other

- Improved profitability driven by higher investment portfolio income

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Key Takeaways

> **FY2022 performance reflects revenue growth amid a challenging macroeconomic environment**

Key Messages for Management

Strong Revenue Growth

Citi achieved **strong revenue growth supported by higher interest rates and lending activity.**

Cost Discipline

Cost discipline and restructuring benefits helped reduce operating expenses.

Credit Cost Surge

Credit costs increased significantly, reflecting normalization of credit conditions and macroeconomic uncertainty.

Profitability Decline

Overall profitability declined despite revenue growth due to **higher credit provisions and strategic investments.**

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